Supply-chain Exposure: Cohort DID-IV

	First stage		Sample		Second stage		
Shock / sample	Big 4	Wald F	Firms	Pairs	Any failure	Fin restatement	Violation
Panel A: Full period							
Supplier	0.015**	5.76	5,589	263,390	-1.217	-1.193	-0.037
	(0.006)				(0.905)	(0.840)	(0.476)
Customer	-0.005	0.90	5,539	246,273	4.056	4.306	0.822
	(0.005)				(5.063)	(5.139)	(1.846)
Customer or supplier	0.004	0.83	5,507	222,614	-4.523	-4.503	-0.167
	(0.005)				(5.313)	(5.152)	(1.524)
Panel B: Through 2012							
Supplier	0.020**	3.92	2,412	74,710	-0.783	-0.694	-0.137
	(0.010)				(0.723)	(0.590)	(0.384)
Customer	0.002	0.04	2,384	66,880	3.269	-1.949	1.118
	(0.011)				(18.205)	(10.590)	(7.384)
Customer or supplier	0.008	0.99	2,373	60,842	-0.831	-1.543	-0.033
	(0.008)				(1.534)	(1.805)	(0.936)

Controls: size, leverage, loss, ROA, Z-score, change in leverage, report lag, CFO, age, and nine missing indicators.
Fixed effects: firm differencing; cell intercepts; differences in industry × year indicators.
Standard errors: clustered by firm.

Notes: Each row reports a separate instrument/sample specification. The first-stage column reports the exposure coefficient for current-year Big 4 appointment; the three right-hand columns report the instrumented Big 4 coefficient. All outcomes are joint indicators of failure and a non-modified audit opinion (MAO=0); Fin is the financial-restatement definition. Coefficients and standard errors use raw 0/1 units. The first stage is identical across the three outcomes within each row. Each cell compares cohort g at $g-1$ and $g+h$, using never-exposed or not-yet-exposed firms as controls. The table reports the ratio of separately aggregated reduced-form and first-stage coefficients over $h = 0, \ldots, 5$. Cell weights equal cohort firm counts observed at $g-1$, normalized over identified cells. Pairs count repeated firm contributions across cells, not unique firm-years. Wald F is the squared clustered first-stage t statistic, not KP F. Ratio standard errors use the joint first-stage/reduced-form covariance across overlapping cells. Network relationships exclude tender sources. Supplier, customer and their union are estimated separately. Panel B requires all included outcome years to be no later than 2012. Standard errors are in parentheses; stars use conventional clustered inference. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Weak-instrument confidence sets for DID-IV are available in the accompanying workbook.